Basler Kantonalbank

ESG Report

Portfolio_SDG_Post

31/05/2024

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I. Snapshot, summary

a. Quick Facts

ESG rating

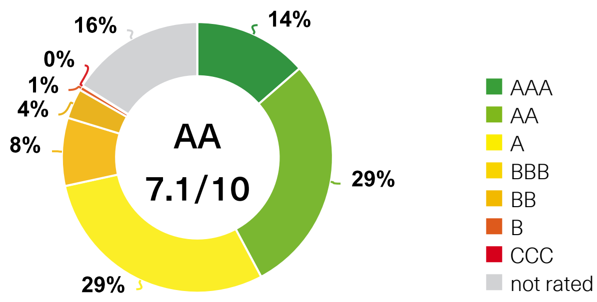
The ESG Quality score measures the ability of the underlying investments to manage key medium to long-term risks and opportunities related to environmental, social and governance factors.

Benchmark

Composite aus 3 Benchmarks

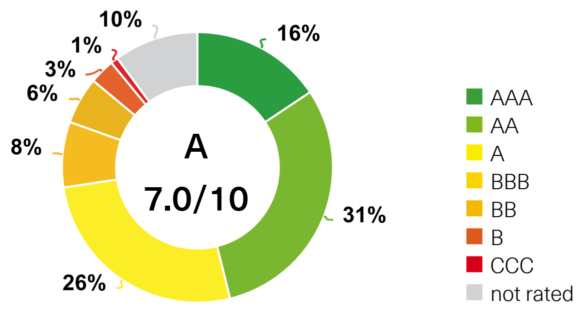
Portfolio

ESG rating distribution
in %



Benchmark

ESG rating distribution
in %



MSCI ESG rating scale

8,6–10	AAA	Leader
7,1–8,6	AA	
5,7–7,1	A	Average
4,3–5,7	BBB	
2,9–4,3	BB	
1,4–2,9	B	Laggard
0–1,4	CCC	

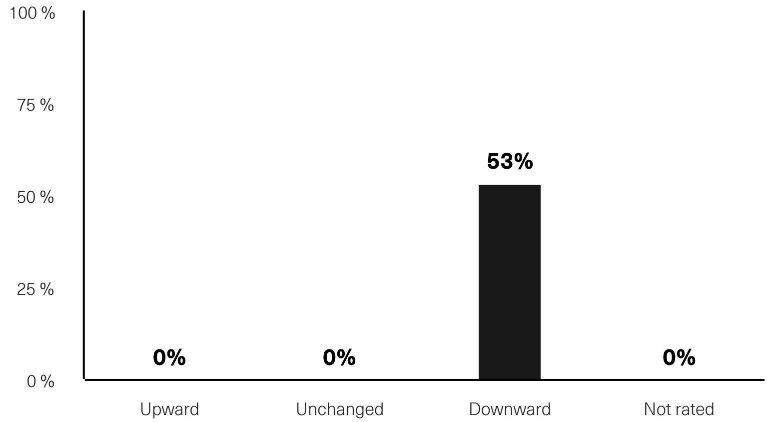
	Portfolio	Benchmark
ESG score	7.1	7.0
ESG rating	AA	A
UN Global Compact compliance	0.0%	0.5%
Business involvement exposure	0.0%	0.0%
ESG coverage	80.8%	89.9%

I. Snapshot, summary

a. Quick Facts

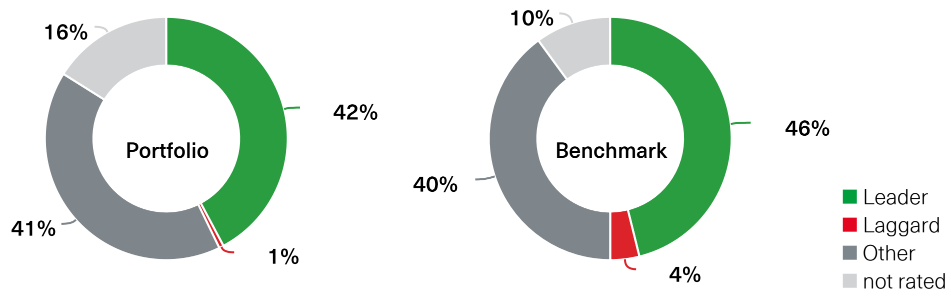
ESG rating momentum – portfolio average

Companies with a negative (– downward) and positive (+ upward) trend in their ESG rating compared to the previous rating.



Exposure to ESG leaders and laggards

ESG leaders are companies with an ESG rating of AAA or AA (best in class). ESG laggards are companies with an ESG rating of B or CCC (worst in class).



Female CEOs

Percentage of companies within the portfolio (holding weight) with female CEOs

2.5% Portfolio

4.5% Benchmark

Female directors

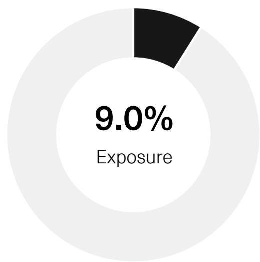
Percentage of female directors in the companies in the portfolio.

30.3% Portfolio

29.7% Benchmark

Exposure to sustainability issues

The key figure shows the extent to which the portfolio is influenced by companies or their products and services, which contribute to solving the greatest global problems in the areas of social and environmental issues.



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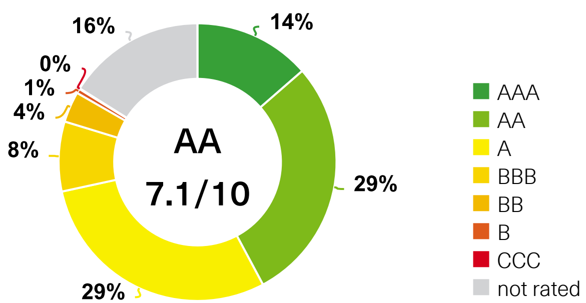
II. ESG overview
a. ESG rating und ESG scores

ESG rating
The MSCI ESG ratings aim to measure a holding's management of financially relevant ESG risks and opportunities. The scoring system uses a rules-based methodology to identify industry leaders and laggards according to their exposure to ESG risks and how well they manage those risks relative to peers. The resulting rating are therefore not absolute but rather explicitly intended to be interpreted relative to a company's industry peers.

Since the scores are only adjusted to industry peers after the aggregation of the pillar scores (E, S, and G Scores), the overall score is often higher or lower than the pure average of the underlying pillar scores.

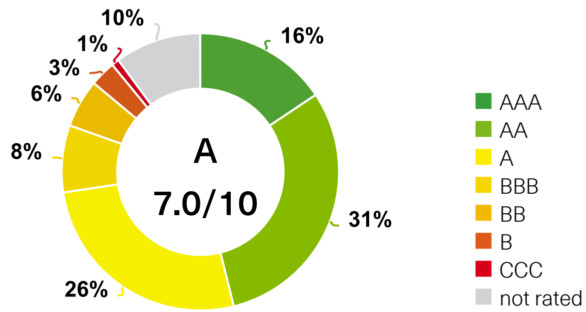
Portfolio

ESG rating distribution
in %



Benchmark

ESG rating distribution
in %



ESG screen	Portfolio	Benchmark	Portfolio vs. Benchmark
ESG score	7.1	7.0	1.6%
ESG score breakdown			
Environment	6.1	6.1	0.5%
Social	5.4	5.1	5.5%
Governance	6.2	5.6	8.7%

II. ESG overview

b. ESG scores and key issues – company positions

Scores and weightings of the issues
The weightings on this page have been normalised, so that only the company positions in the portfolio can be displayed. If the portfolio also contains rated securities that are not corporate bonds, the weightings and pillar scores on this page may differ from those in the summary on the previous page.

	Respective key issues	Portfolio score	Benchmark score	Portfolio weight	Benchmark weight
Environment		6.1	6.1	20.6%	20.9%
Climate change	Carbon emissions, Product carbon footprint, Financing environmental impact, Climate change vulnerability	7.5	7.7	6.5%	8.0%
Natural capital	Opportunities in clean tech, Opportunities in green building, opportunities in renewable energy	5.6	5.4	3.1%	4.9%
Pollution and waste	Water stress, biodiversity & land use, raw material sourcing	5.1	4.8	3.1%	4.4%
Environmental opportunities	Toxic emissions & waste, packaging material & waste, electronic waste	5.6	5.2	3.0%	3.6%
Social		5.4	5.1	39.3%	42.7%
Human capital	Labor management, health & safety, human capital development, supply chain labor standards	5.3	5.1	13.9%	17.9%
Product liability	Product safety & quality, chemical safety, consumer financial protection, privacy & data decurity, responsible investment, health & demographic risk	5.0	5.0	15.6%	18.0%
Stakeholder Opposition	Access to communications, access to finance, access to health care, opportunities in nutrition & health	7.1	5.0	1.1%	1.5%
Social opportunities	Controversial sourcing, community relations	5.1	5.0	3.8%	5.1%
Governance		6.2	6.2	40.0%	36.4%
Coprorate governance	Ownership & control, board, pay, accounting	5.6	6.8	-	-
Corporate behaviour	Business ethics, tax transparency	4.5	5.0	-	-

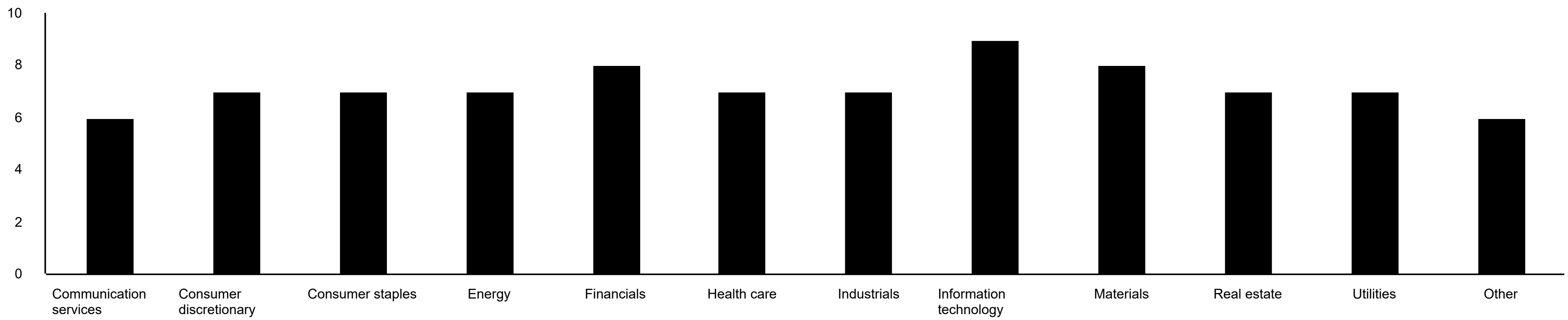
II. ESG overview

c. Breakdown by sector

ESG rating distribution

Sectors (GICS)	Portfolio score	Benchmark score	Portfolio weight	Benchmark weight	AAA	AA	A	BBB	BB	B	CCC	not rated
Communication services	5.8	6.0	3.2%	4.3%	0.1%	0.8%	0.4%	1.4%	0.5%	0.0%	-	0.0%
Consumer discretionary	6.9	5.7	4.6%	7.0%	0.1%	2.0%	1.6%	1.7%	0.6%	0.7%	0.2%	0.1%
Consumer staples	6.6	6.1	6.6%	10.8%	0.4%	0.9%	5.0%	0.1%	0.1%	0.0%	-	0.1%
Energy	7.0	5.6	1.1%	1.9%	0.1%	0.4%	0.4%	0.1%	0.1%	0.0%	0.0%	0.0%
Financials	7.6	7.4	13.6%	24.0%	2.6%	7.1%	2.7%	0.7%	0.0%	0.0%	0.0%	0.4%
Health care	7.4	7.3	10.2%	13.0%	2.0%	4.0%	3.9%	0.1%	0.1%	-	-	0.1%
Industrials	7.5	6.7	5.9%	8.6%	2.3%	1.5%	1.0%	0.5%	0.2%	0.0%	0.0%	0.4%
Information technology	8.6	7.5	7.9%	7.1%	3.8%	3.1%	0.7%	0.1%	0.0%	-	-	0.2%
Materials	7.7	6.5	3.5%	6.8%	0.8%	1.9%	0.3%	0.2%	0.2%	0.0%	-	0.0%
Real estate	7.0	6.3	1.2%	2.5%	0.3%	0.5%	0.2%	0.1%	0.0%	0.0%	0.0%	0.1%
Utilities	7.0	5.2	0.8%	1.7%	0.2%	0.2%	0.2%	0.1%	0.1%	-	-	-
Other	6.4	5.6	10.4%	6.1%	0.3%	2.0%	1.7%	0.7%	0.1%	0.1%	0.1%	0.2%

Average ESG score per sector (GICS)



II. ESG overview

d. Breakdown of the holdings

Lowest ESG rated positions in portfolio (>0,05 % weight)

Holding name	Weight	Sector (GICS)	ESG rating
The Swatch Group AG	0.1%	Consumer Discretionary	BB
EMS-CHEMIE HOLDING AG	0.1%	Materials	BB
GODREJ CONSUMER PRODUCTS LIMITED	0.1%	Consumer Staples	BB
NIKE, INC.	0.1%	Consumer Discretionary	BB
Corporacion Andina de Fomento	0.1%	Others	BB

Highest ESG rated positions in portfolio (>0,05 % weight)

Holding name	Weight	Sector name (GICS)	ESG Rating
ABB Ltd	1.3%	Industrials	AAA
Alcon AG	0.6%	HealthCare	AAA
Swiss Re AG	0.5%	Financials	AAA
Logitech international S.A.	0.2%	Information Technology	AAA
Kuehne + Nagel International AG	0.2%	Industrials	AAA

Largest positions in portfolio

Holding name	Weight	Sector (GICS)	ESG Rating
Nestle S.A.	4.1%	Consumer Staples	A
Pfandbriefbank schweizerischer Hypothekarinstitute AG	3.0%	Others	A
Novartis AG	3.0%	HealthCare	AA
Schweizerische Eidgenossenschaft	2.8%	Others	AA
United States of America	2.8%	Others	A

III. Controversies and international norms

a. ESG controversies

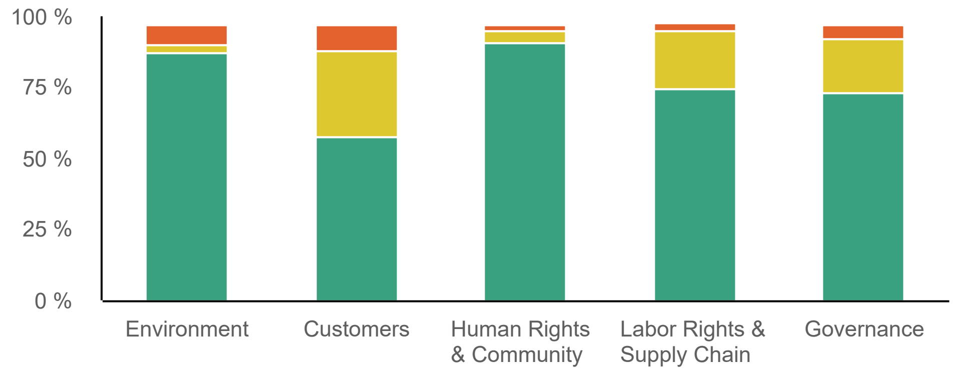
MSCI ESG controversies

The MSCI ESG controversies are designed to provide timely and consistent assessments of ESG controversies involving the impact of company operations, governance practices, and/or products and services that allegedly violate national or international laws, regulations, and/or commonly accepted global norms.

The ESG controversies analytical framework organizes controversies within the three pillars of Environment, Social, and Governance. The Social pillar is further divided into three sub-pillars representing different stakeholders.

MSCI ESG research signals the severity of the assessment through color-coded alerts:

- Red (0): indicates at least one very severe controversy
- Orange (1): indicates one or more major controversies (approaching the criteria for red)
- Yellow (2–4): indicates noteworthy controversies
- Green (5–10): indicates either less significant controversies or none at all



Positions in portfolio with the most controversy exposure (> 0,05 % Weight)

Holding name	Weight	Sector (GICS)	Controversy score	Overall flag
Nestle S.A.	4.1%	Consumer Staples	1.0	Orange
Pfandbriefbank schweizerischer Hypothekarinstitute AG	3.0%	Others	10.0	Green
Novartis AG	3.0%	HealthCare	3.0	Yellow
Roche Holding AG	2.6%	HealthCare	1.0	Orange
Pfandbriefzentrale der schweizerischen Kantonalbanken AG	2.2%	Others	10.0	Green
UBS Group AG	1.5%	Financials	1.0	Orange
MICROSOFT CORPORATION	1.5%	Information Technology	2.0	Yellow
ABB Ltd	1.3%	Industrials	5.0	Green
COMPAGNIE FINANCIERE RICHEMONT SA	1.2%	Consumer Discretionary	6.0	Green
NVIDIA CORPORATION	1.1%	Information Technology	5.0	Green

IV. Norm-based screening

a. United Global Compact Compliance

UNGC Compliance

Company	Portfolio weight	ESG score	UNGC compliance
PETROLEOS DEL PERU - PETROPERU S.A.	0.0%	0.0	Fail
OCP SA	0.0%	0.0	Fail

	Portfolio	Benchmark
Violation of the Global Compact (%)	**0.0**	**0.5**
Violation of the Global Compact and inclusion in the watch list (%)	**7.0**	**12.1**

UNGC principles

1	Businesses should support and respect the protection of internationally proclaimed human rights.
2	Businesses should make sure that they are not complicit in human rights abuses.
3	Businesses should uphold the freedom of association and the effective recognition of the right to collective bargaining.
4	Businesses should uphold the elimination of all forms of forced and compulsory labour.
5	Businesses should uphold the abolition of child labour.
6	Businesses should uphold the elimination of discrimination in respect of employment and occupation.
7	Businesses should support a precautionary approach to environmental challenges.
8	Businesses should undertake initiatives to promote greater environmental responsibility.
9	Businesses should encourage the development and diffusion of environmentally friendly technologies.
10	Businesses should work against corruption in all its forms, including extortion and bribery.

IV. Norm-based screening

b. Business involvement – BKB general approach

BKB general approach

BKB has established guidelines for dealing with controversial environmental and social issues throughout its entire business activities. The guidelines cover the above-mentioned controversial business areas. In the area of asset management, these apply wherever BKB selects individual securities itself. Transactions at the explicit request of clients and third-party investment products are excluded from the scope of application. You can find further information on our Homepage.

Grösste Portfoliopositionen mit Exposure gegenüber umstrittenen Geschäftsfeldern

Holding name	Weight	Sector (GICS)	Business involvement
ANGLO AMERICAN PLC	0.1%	Materials	Power generation from coal and/or oil
ITOCHU Corporation	0.0%	Industrials	Power generation from coal and/or oil
ANGLO AMERICAN CAPITAL PLC	0.0%	Materials	Power generation from coal and/or oil
THE BOEING COMPANY	0.0%	Industrials	Production and supply of war material, Controversial Weapons
RTX CORPORATION	0.0%	Industrials	Production and supply of war material

Business involvement – BKB general approach

	Portfolio	BKB threshold
Power generation from coal and/or oil	0.2%	20%
War material	0.1%	10%
Palmoil	0.0%	Zero tolerance
Banned Weapons	0.0%	Zero tolerance
Nuclear energy and uranium mining	0.0%	20%
Derivatives on agricultural commodities	0%	Zero tolerance
Violation of international labour rights	0%	Zero tolerance

IV. Norm-based screening

c. Business involvement – BKB sustainable approach

BKB sustainable approach

For our sustainable investment products, in addition to the guidelines (BKB general approach), controversial business areas are defined in which no investment is made. These exclusion criteria are not only applied where the equity is selected by BKB, but they are also a basic prerequisite when selecting sustainable third-party investment products. You can find further information on our Homepage.

Largest positions in portfolio with exposure

Holding name	Weight	Sector (GICS)	Business involvement
LVMH MOET HENNESSY LOUIS VUITTON SE	0.2%	Consumer Discretionary	~Screen1BusinessInvolvement7~
ANGLO AMERICAN PLC	0.1%	Materials	Production and supply of war material
SANDS CHINA LTD.	0.0%	Consumer Discretionary	~Screen1BusinessInvolvement9~
ITOCHU Corporation	0.0%	Industrials	Production and supply of war material
ANHEUSER-BUSCH INBEV SA	0.0%	Others	~Screen1BusinessInvolvement7~

Business involvement – BKB sustainable approach

	Portfolio	BKB threshold
Banned weapons	0.0%	Zero tolerance
Mining of coal	0.2%	20%
War material	0.1%	5%
Nuclear energy and uranium mining	0.1%	5%
Genetic engineering in agriculture	0.1%	5%
Tobacco	0.1%	5%
Alcohol	0.3%	5%
Pornography	0.0%	5%
Gambling	0.1%	5%
Palmoil	0.0%	Zero tolerance
Derivatives on agricultural commodities	0%	Zero tolerance
Violation of UN embargo regulations and non-compliance with UN human rights conventions	0%	Zero tolerance
Violation of international labour rights	0%	Zero tolerance

V. Impact alignment measurement
a. Total exposure

Sustainable Impact-Alignment

Revenue exposure to sustainable impact solutions reflects the extent to which company revenue is exposed to products and services that help solve the world's major social and environmental challenges. It is calculated as a weighted average, using portfolio weights and each issuer's percent of revenue generated from sustainable impact solutions. To be eligible to contribute, an issuer must maintain minimum ESG standards. The classifications below help interpret the different degrees of exposure.

Overall sustainable impact exposure

Top 5 companies highly exposed to sustainable impact solutions

	Weight	Theme
ABB Ltd	1.2%	EI
NVIDIA CORPORATION	1.1%	EI
Taiwan Semiconductor Manufacturing Co., Ltd.	1.1%	EI
Sika AG	0.7%	EI
Partners Group Holding AG	0.5%	EI

Environmental impact (EI) exposure

Social impact (SI) exposure

V. Impact alignment measurement

b. Sustainable impact alignment themes

Environmental impact alignment themes	Climate change			Natural capital	
	Alternative energy	Energy efficiency	Green building	Sustainable water	Pollution prevention
2.6%	**0.2%**	**2.0%**	**0.2%**	**0.1%**	**0.1%**
Companies make x %	per year from revenues from alternative energy technologies	per year from revenues from energy efficiency technologies	per year from revenues from green building investments	per year from revenues from sustainable water technologies	per year from revenues generated by pollution prevention technologies
Benchmark 2.7%	0.4%	1.7%	0.2%	0.2%	0.1%

Social impact alignment themes	Basic needs				Empowerment	
	Nutrition	Affordable housing	Major disease treatment	Sanitation	SME finance	Education
6.3%	**1.3%**	**0.1%**	**4.21%**	**0.4%**	**0.4%**	**0.0%**
Companies make x %	per year from revenues from nutricious products	per year from revenues from affordable housing	per year from revenues from major disease treatment	per year from revenue of sanitation products	per year from revenues from SME finance	per year from revenues from educational services
Benchmark 8.1%	2.3%	0.1%	4.6%	0.4%	0.7%	0.0%

V. Impact alignment measurement

c. Sustainable Development Goals

SDG alignment
The SDG alignment represents the average net contribution of the portfolio to achieving the 17 UN Sustainable Development Goals (SDGs) on a scale from -10 (negative contribution) to +10 (positive contribution). The assessment is based on both the products and services and the operating activities of the companies included in the portfolio.

SDG	Portfolio	Benchmark	Goal
1 NO POVERTY	0.6	0.7	**No poverty** End poverty in all its forms everywhere.
2 ZERO HUNGER	0.1	0.1	**Zero hunger** End hunger, achieve food security and improved nutrition and promote sustainable agriculture.
3 GOOD HEALTH AND WELL-BEING	0.3	0.2	**Good health and well-being** Ensure healthy lives and promote well-being for all at all ages.
4 QUALITY EDUCATION	0.2	0.2	**Quality education** Ensure inclusive and equitable quality education and promote lifelong learning opportunities for all.
5 GENDER EQUALITY	1.9	2.0	**Gender equality** Achieve gender equality and empower all women and girls.
6 CLEAN WATER AND SANITATION	1.0	1.0	**Clean water and sanitation** Ensure availability and sustainable management of water and sanitation for all.
7 AFFORDABLE AND CLEAN ENERGY	1.0	1.0	**Affordable and clean energy** Ensure access to affordable, reliable, sustainable and modern energy for all.
8 DECENT WORK AND ECONOMIC GROWTH	1.5	1.6	**Decent work and economic growth** Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all.
9 INDUSTRY, INNOVATION AND INFRASTRUCTURE	0.6	0.7	**Industry, innovation and infrastructure** Build resilient infrastructure, promote inclusive and sustainable industrialisation and foster innovation.
10 REDUCED INEQUALITIES	1.4	1.4	**Reduced inequalities** Reduce inequality within and among countries.
11 SUSTAINABLE CITIES AND COMMUNITIES	0.1	0.1	**Sustainable cities and communities** Make cities and human settlements inclusive, safe, resilient and sustainable.
12 RESPONSIBLE CONSUMPTION AND PRODUCTION	1.1	0.9	**Responsible consumption and production** Ensure sustainable consumption and production patterns.
13 CLIMATE ACTION	1.1	1.1	**Climate action** Take urgent action to combat climate change and its impacts.
14 LIFE BELOW WATER	-0.2	-0.3	**Life below water** Conserve and sustainably use the oceans, seas and marine resources for sustainable development.
15 LIFE ON LAND	-0.3	-0.4	**Life on land** Protect, restore and promote sustainable use of terrestrial ecosystems, sustainably manage forests, combat desertification, and halt and reverse land degradation and halt biodiversity loss.
16 PEACE, JUSTICE AND STRONG INSTITUTIONS	0.1	0.2	**Peace, justice and strong institutions** Promote peaceful and inclusive societies for sustainable development, provide access to justice for all and build effective, accountable and inclusive institutions at all levels.
17 PARTNERSHIPS FOR THE GOALS	0.2	0.2	**Partnerships for the goals** Strengthen the means of implementation and revitalise the Global Partnership for Sustainable Development.

■ Portfolio
■ Benchmark

Sustainable Development Goals
The 2030 Agenda for Sustainable Development, adopted by all United Nations Member States in 2015, provides a shared blueprint for peace and prosperity for people and the planet, now and into the future. At its heart are the 17 Sustainable Development Goals (SDGs), which are an urgent call for action by all countries - developed and developing - in a global partnership. They recognize that ending poverty and other deprivations must go hand-in-hand with strategies that improve health and education, reduce inequality, and spur economic growth – all while tackling climate change and working to preserve our oceans and forests

VI. Swiss Climate Scores

a. Current State

About the Swiss Climate Scores

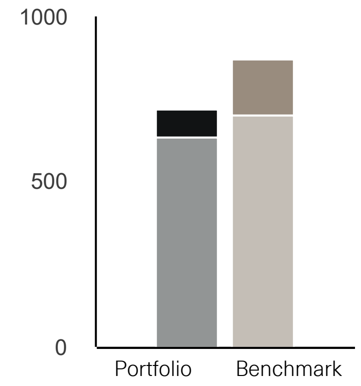
Switzerland and its financial market are committed to transitioning to net-zero greenhouse gas emissions by 2050. This is needed to honor its obligations under the Paris Agreement of holding the increase in the global temperature to well below 2°C and pursuing efforts to limit it to 1.5°C. Current science indicates that global warming beyond 1.5°C has potentially catastrophic impacts on the natural world and human society. The Swiss climate scores establish best-practice transparency on the Paris-alignment of financial investments to foster investments decisions that contribute to reaching the climate

Greenhouse gas emissions

Encompasses all sources of greenhouse gas emissions from invested companies (scope 1–3), including the relevant emissions of their suppliers and products.

Intensity

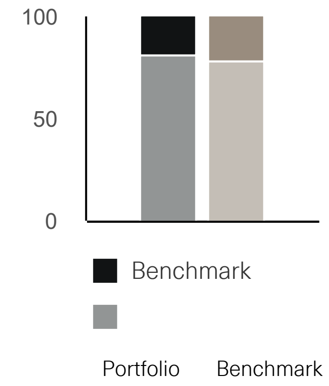
tCO2e/CHF million revenue



- Scope 1 and 2 (58.0%%coverage)
- Scope 3 (57.9%% coverage)
- Scope 1 and 2 (85.4%% coverage)
- Scope 3 ((85.2%% coverage)

Footprint

tCO2e/CHF million revenue



- Scope 1 and 2 (67.5% % coverage)
- Scope 3 (67.3% % coverage)
- Scope 1 and 2 (89.5%% coverage)
- Scope 3 (89.4% % coverage)

Medium estimation uncertainty

Exposure to fossil fuel activities

There is scientific consensus of the need to phase-out coal and stop financing new fossil fuel projects. Below figures show the share of investments into companies that earn more than 5% of their revenues from such business activities.

Share of investments into companies with activities in **coal:**

0.0%	0.3%
Portfolio	Benchmark

Share of investments into companies with activities in other **fossil fuels**

2.4%	2.9%
Portfolio	Benchmark

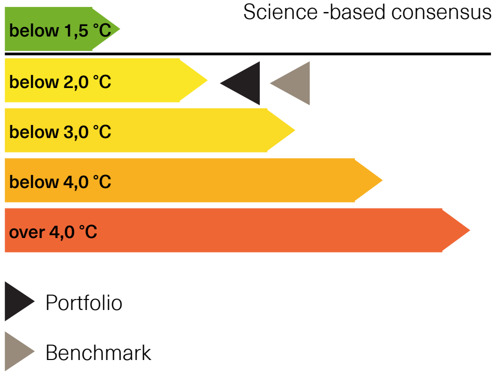
Low estimation uncertainty

VI. Swiss Climate Scores

b. Transition to net zero

Global warming alignment

This is the level of global warming that would occur if the global economy acted with the same ambition as the companies in the portfolio. Some portfolios with climate objectives may intentionally include investments in companies that are not yet on track to 1.5°C, but seek to contribute actively to climate goals by improving the alignment of investee companies to bring a larger share of the economy into alignment over time.



1.6 ° Portfolio

1.7 ° Benchmark

Portfolio assets covered by assessment: **59.2%**
Climate scenarios used: **MSCI Scenario (Glossary)**
Data model: **Implied Temperate Rise**
Data provider: **MSCI ESG Inc.**

High estimation uncertainty

Verified commitments to net zero

Companies are increasingly committing voluntarily to transitioning to net zero and setting interim targets. The effectiveness of such commitments depends on whether interim targets are credible, science-based and transparent.

Share of companies in portfolio with verified commitments to net zero and credible interim targets:

27.1% Portfolio

34.3% Benchmark

Low estimation uncertainty

Management to Net-Zero

Financial institutions can contribute to the transition to net zero by aligning their investment strategy with a consistent 1.5 °C decarbonisation pathway.

Does the investment strategy include a goal to reduce the greenhouse gas emissions from its underlying investments through concrete short-term (1–3 years) or midterm (5 years) targets?	No
Is the portfolio part of a third-party verified commitment to net zero by the financial institution including credible interim targets?	No

3%
Average annual reduction path **excluding** relevant Scope 3

2 %
Average annual reduction path **including** relevant Scope 3

Credible Climate Stewardship

Financial institutions can contribute to the transition to net-zero, by engaging with invested companies on third-party verified, sciencebased net-zero aligned transition plans until 2050.

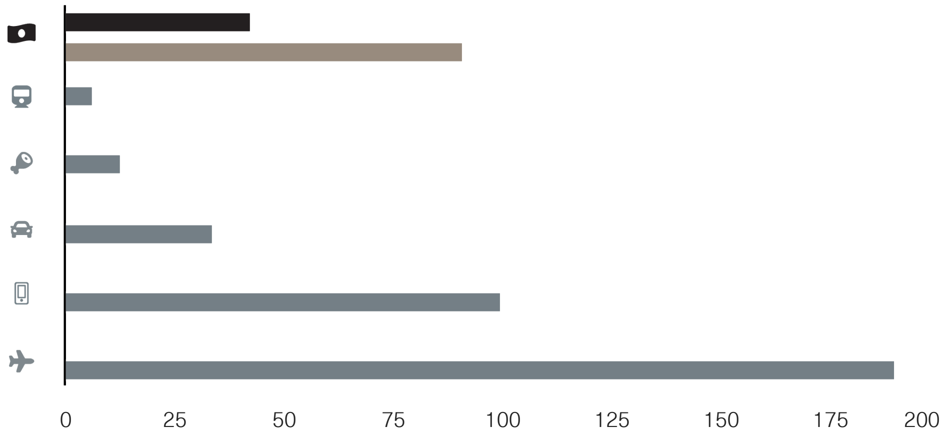
Are companies in the portfolio subject to credible stewardship on climate transition?	No
Share of companies currently under active climate engagement:	0.0%
Share of climate votes supported:	
Link to climate stewardship strategy and report:	-
Is the financial institution a member of a climate engagement initiative?	No

VII. Carbon

a. Carbon overview

Comparison with everyday examples

Consumption in kg CO2e



Portfolio
Benchmark
102 km train journey Basel–Bern (SBB– 6.5 kg)
Production of 1 kg of beef (WWF– 13kg)
100 km by car (MyClimate– 34 kg)
Production of one smartphone (Öko Institute – 100 kg)
One-way economy flight Basel–Barcelona (MyClimate – 190 kg)

CO2e emission figures

	Portfolio	Benchmark
Total financed emissions (tCO2e)	208.3	387.4
– Emissions from companies (Scope 1)	30.8	69.7
– Emissions bought by companies (Scope 2)	7.1	14.7
– Emissions along the supply chain (Scope 3)	170.7	303.0
Weighted average carbon intensity (tCO2e/mil. revenue)	85.8	165.5
– Coverage	67.5	89.5
Government greenhouse gas intensity (tCO2e/mil. GDP)	73.5	2.0
– Coverage	-	-

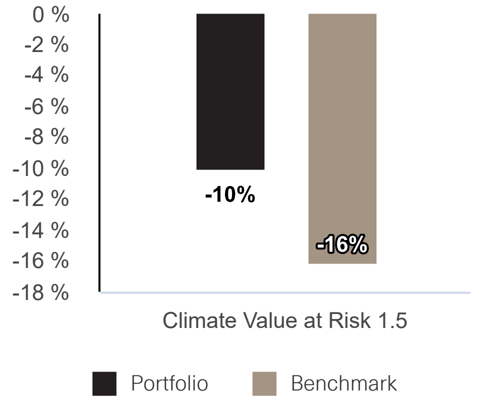
Carbon contributers

Top 5 largest positions in portfolio	Weight	Carbon footprint (tCO2e / CHF mil. invested)
Nestle S.A.	4.1%	10.8
Pfandbriefbank schweizerischer Hypothekarinstitute AG	3.0%	-
Novartis AG	3.0%	2.2
Roche Holding AG	2.6%	2.4
Pfandbriefzentrale der schweizerischen Kantonalbanken AG	2.2%	-

Top 5 largest carbon values in portfolio	Weight	Carbon footprint (tCO2e / CHF mil. invested)
ANHUI CONCH CEMENT COMPANY LIMITED	0.0%	9 339.7
SASOL LIMITED	0.0%	4 128.2
Alabama Power Company	0.0%	3 156.8
VEDANTA LIMITED	0.0%	3 006.0
Heidelberg Materials Finance Luxembourg S.A.	0.0%	2 634.1

Climate Value at Risk

This reflects the portfolios exposure to climate change risks as a percentage of market value at risk under the climate change scenario of a 1.5 °C temperature increase (where a negative CVaR indicates the potential loss and a positive CVaR indicates potential gain in portfolio value).



VIII. Fund overview

a. Fund facts and breakdown of invested funds

ISIN	Fund	ESG Rating	ESG Score	UNGC	Carbon Footprint	Weighted average carbon intensity	Swiss Climate Scores report
CH0594527720	UBS (CH) Equities Switzerland ESG Passive All II	AA	7.6	0.0	176.3	537.7	Link here
CH0594527738	UBS (CH) - Bonds CHF Inland ESG Passive II	A	7.1	0.0	149.9	1 302.0	-
CH1162399898	UBS Global Aggregate Bonds ESG Passive (CHF hedged) II	A	6.6	0.0	334.7	999.6	-
CH1112281725	UBS Equities Global ESG Leaders Passive II	AA	7.7	0.0	230.3	521.4	Link here
CH1112281782	UBS Equities Global ESG Leaders Passive (CHF hedged) II	AA	7.7	0.0	229.5	519.7	Link here
CH0244558836	UBS (CH) Institutional 3 - Bonds Emg Markets Aggregate ESG Passive (CHF hedged) II	BBB	4.7	0.3	686.8	1 318.5	-
CH0042114378	UBS (CH) Institutional 3 - Swiss Real Estate Securities Selection Passive II	-	-	-	-	-	-
CH1167887459	UBS Equities Emerging Markets Global ESG Leaders Passive II	A	6.8	0.0	304.3	731.2	Link here
CH0594527746	UBS (CH) - Bonds CHF Ausland ESG Passive II	AA	7.3	0.0	123.0	957.8	Link here
LU2459597451	UBS (Lux) Equity - Emerging Markets Sustainable Leaders (USD)	A	7.0	0.0	441.8	1 838.9	Link here
IE00BNC0M913	UBS (Irl) ETF plc - MSCI EMU ESG Universal Low Carbon Select UCITS ETF	AA	8.2	0.0	288.8	588.3	Link here
CH0048799156	UBS (CH) Money Market - CHF	AA	7.5	0.0	199.4	1 019.3	-
CH0007304386	ESG Balanced Strategy	AA	7.2	0.0	232.6	769.0	-

Greenhouse gas emissions	**CO2e = CO2 equivalents are a unit of measurement for standardising the climate effect of the different greenhouse gases. The amount of CO2e emitted is expressed in "tonnes of CO2 equivalents" (tCO2e). Intensity of a company: CO2e emissions (in tonnes) per 1 million revenue achieved by the issuers in the portfolio. Intensity of states: CO2e emissions (in tonnes) per 1 million GDP generated by the issuers in the portfolio. Footprint: CO2e emissions (in tonnes) per 1 million invested capital. Weighted average CO2e intensity (WACI):If you multiply the CO2e intensity of an item in investments by its weighting in the portfolio, you get the weighted average CO2e intensity or Weighted Average Carbon Intensity (WACI). Scope 1: Emissions from sources that are directly owned or controlled by the company Example of a automotive manufacturer: Direct CO2e emissions from the manufacturing facilities and the company's own fleet (e.g. combustion of oil or gas in production processes and fuels in vehicles). Scope 2: Indirect emissions from the use of purchased energy (e.g. electricity consumption, heat, cooling). If the company generates the energy used itself, this electricity is not accounted for as Scope 2, but the fuel used is accounted for under the (direct) emissions of Scope 1. Example of a automotive manufacturer: Purchasing electricity from an energy supplier. In this case, the Scope 2 emissions correspond to the Scope 1 emissions of the utility. Scope 3: All other indirect emissions that arise in the value chain of a company. Upstream: Describes the CO2e emissions from the so-called upstream chains: from the production of raw materials (such as plastics, steel, aluminium), business trips and commuting of employees, etc. Downstream: Emissions resulting from the transport and use of the products, as well as for their recycling.**

	An Implied Temperature Rise (ITR) model helps to determine the temperature of a portfolio. It translates the projected greenhouse gas emissions of the companies that comprise a portfolio into an increase in global average temperatures over the coming decades. For example, the model indicates whether a portfolio can limit global warming to 1.5 °C this century (see MSCI Implied Temperature Rise Methodology).
UNGC	The United Nations Global Compact (UNGC) is a United Nations global initiative established in 2000. It supports companies in voluntarily committing to responsible business practices in the areas of human rights, labour standards, environmental protection and corruption. More than 22,000 companies and organisations from around 165 countries are now part of the Global Compact. The UNGC pursues two complementary objectives: Firstly, the ten principles for responsible corporate governance in the areas of human rights, labour standards, the environment and the fight against corruption are to be integrated into corporate action on a global level. Secondly, measures should be promoted that support the general goals of the UN (e.g. Sustainable Development Goals).
Overview of UNGC compliance	Shows the UNGC statistics and the key figures for the portfolio. Investments are classified and graded as investments that have passed the test, are on the watch list or have not passed the test, as well as investments that are not covered by this analysis. Investments are based on their market value in the portfolio. UNGC compliance is based directly on the methodology of controversies (see MSCI ESG controversies and Global norms methodology).
Companies with verified net zero targets	Companies must have publicly committed to achieving net zero and their short-term targets must be certified (by the Science-Based Target initiative (SBTi) or other bodies as appropriate).

IX. Appendix

a. Glossary

Term	Description
Share of fossil fuels	The figures represent the share of investments in companies that generate more than 5 % of their revenues from the following business activities: carbon-based fuels from fossil hydrocarbon deposits, including coal, petroleum and natural gas. For the purposes of the Swiss Climate Scores, exposure to coal is considered separately from exposure to other fossil fuels (i.e. petroleum and natural gas). The scope of activities covers the entire value chain, from exploration, extraction and production (upstream), transport and storage (midstream) to refining, marketing and electrification (downstream).
Business involvement – BKB	Business Involvement identifies companies involved in activities that violate ethical or religious views, such as the production of alcohol, weapons, tobacco, etc. We distinguish between a general BKB approach with our guidelines for dealing with controversial environmental and social issues. These are generally applicable to all business activities of BKB. Companies that do not generate significant revenue or production shares (see Thresholds) in the relevant business areas may be admitted. On the other hand, companies that produce or trade in banned weapons, for example, are excluded completely. In the investment business, in addition to the sustainable BKB approach, which involves the exclusion of other business areas, as well as stricter thresholds, Business Involvement Screens help to gain a better insight into potentially controversial business activities to which a portfolio may be exposed.
Business involvement exposure	The percentage of portfolio market value with an exposure to companies associated with one or more exclusion criteria.
Global warming potential	This is the level of global warming that would occur if the global economy acted with the same ambition as the portfolio companies. A climate scenario of 2 °C is used for this.

Term	Description
Credible climate dialogue	• Votes/proxy votes should be consistent with the ambition of reaching net zero by 2050 • Any linked climate engagement strategy should be consistent with the ambition of reaching net zero by 2050 An example for a climate engagement initiative is Climate Action 100 • The escalation procedure is clearly defined and made transparent
Implied Temperature Rise (ITR)	An Implied Temperature Rise (ITR) model helps to determine the temperature of a portfolio. It translates the projected greenhouse gas emissions of the companies that comprise a portfolio into an increase in global average temperatures over the coming decades. For example, the model indicates whether a portfolio can limit global warming to 1.5 °C this century (see MSCI Implied Temperature Rise Methodology).
MSCI ESG rating	The MSCI ESG score at the portfolio level is designed to help clients understand a fund's resilience to long-term ESG risks and opportunities. The MSCI ESG score at the portfolio level summarises the industry or government-adjusted ESG scores of the underlying holdings to give clients an indication of ESG valuation at the fund level. The value is given on a scale from 0 to 10, with 0 and 10 representing the lowest and highest possible fund valuations, respectively.
Swiss Climate Scores	In order to create a meaningful and comparable information base on the climate compatibility of financial assets, the federal government has introduced six indicators that are based on existing and internationally established criteria and methods. The Swiss Climate Scores measure the current state of climate pollution and take the future into account by a transition to net zero. Further information can be found on the Swiss Climate Scores website of the federal government.

IX. Appendix

a. Glossary

Term	Description
Greenhouse gas emissions	**CO2e** = CO2 equivalents are a unit of measurement for standardising the climate effect of the different greenhouse gases. The amount of CO2e emitted is expressed in "tonnes of CO2 equivalents" (tCO2e). **Intensity of a company:** CO2e emissions (in tonnes) per 1 million revenue achieved by the issuers in the portfolio. **Intensity of states:** CO2e emissions (in tonnes) per 1 million GDP generated by the issuers in the portfolio. **Footprint:** CO2e emissions (in tonnes) per 1 million invested capital. **Weighted average CO2e intensity (WACI):**If you multiply the CO2e intensity of an item in investments by its weighting in the portfolio, you get the weighted average CO2e intensity or Weighted Average Carbon Intensity (WACI). **Scope 1:** Emissions from sources that are directly owned or controlled by the company Example of a automotive manufacturer: Direct CO2e emissions from the manufacturing facilities and the company's own fleet (e.g. combustion of oil or gas in production processes and fuels in vehicles).

Term	Description
	Scope 2: Indirect emissions from the use of purchased energy (e.g. electricity consumption, heat, cooling). If the company generates the energy used itself, this electricity is not accounted for as Scope 2, but the fuel used is accounted for under the (direct) emissions of Scope 1. Example of a automotive manufacturer: Purchasing electricity from an energy supplier. In this case, the Scope 2 emissions correspond to the Scope 1 emissions of the utility. **Scope 3:** All other indirect emissions that arise in the value chain of a company. Upstream: Describes the CO2e emissions from the so-called upstream chains: from the production of raw materials (such as plastics, steel, aluminium), business trips and commuting of employees, etc. Downstream: Emissions resulting from the transport and use of the products, as well as for their recycling. Example of a automotive manufacturer: Greenhouse gas emissions resulting from the production of automotive parts, which it receives from suppliers, are classified as upstream Scope 3 emissions. The emissions released from the use of the vehicles by their owners over the lifetime of the vehicle, on the other hand, represent the downstream Scope 3 emissions of the vehicle manufacturer.

Business Involvement identifies companies involved in activities that violate ethical or religious views, such as the production of alcohol, weapons, tobacco, etc.

We distinguish between a general BKB approach with our guidelines for dealing with controversial environmental and social issues. These are generally applicable to all business activities of BKB. Companies that do not generate significant revenue or production shares (see Thresholds) in the relevant business areas may be admitted. On the other hand, companies that produce or trade in banned weapons, for example, are excluded completely.

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